SACRUM / CORDATA

Investor Q&A Preparation

Likely questions, clear sample answers and follow-up points to know

Use the short answers as a guide, not as lines to memorize. Be direct, separate the case assumptions from evidence, and never claim an investment outcome is guaranteed.

Prepared for a soft-skills investor-pitch exercise

All financial figures are illustrative classroom assumptions, not verified company results.

How to answer difficult questions

A good answer is short, specific and honest about what is known. Start with the answer, support it with one number or example, state the assumption or risk, then offer the next proof point.

- Do not bluff. If the number is a training assumption, say so plainly.
- Do not mix ARR, recognized revenue, bookings, contract value or cash collected.
- Do not promise a return, valuation multiple or exit date. None is specified in the exercise.
- Keep an answer under 30 seconds, then invite a follow-up if the investor wants detail.

1. What exactly does Sacrum sell?

Sacrum combines cloud transformation and managed services with Cordata, a proprietary platform for multi-cloud governance, cost visibility, security posture and compliance reporting. Services solve immediate needs; the product is intended to standardize and scale repeatable work.

2. Why does the company need both services and software?

Services help us understand complex customer environments and build trust. Cordata captures repeatable workflows so we can serve more customers consistently. The risk is remaining too dependent on custom services, so we are investing in product adoption and repeatable deployments.

3. Are these real financial numbers?

No. This is an illustrative soft-skills training case. The model uses the story's historical points and clearly marked assumptions for stream splits, margins, ARR and forecasts. The presentation is for practicing the investor conversation, not for an actual investment offer.

4. How did you get from INR 0.44 Cr to INR 32 Cr?

The case attributes growth to referrals, cloud partner visibility, expansion into larger accounts and public-sector work. The slide shows total recognized revenue split between services and Cordata. The split is partly assumed for the exercise.

5. Why show 73x growth or a 317% CAGR?

The company starts from a small INR 0.44 Cr case-history base. INR 32 Cr divided by INR 0.44 Cr is about 73 times, and the compound rate across three annual intervals is about 317%. It is a historical calculation, not a forecast guarantee, and the small base makes the percentage look especially high.

6. What is the difference between recognized revenue and ARR?

Recognized revenue is assigned to a particular year as contracted service is delivered. ARR is the annualized subscription run rate at a point in time, usually year end. The model keeps them separate because one cannot be substituted for the other.

7. Is INR 15 Cr of Cordata ARR part of the INR 32 Cr CY25 revenue?

No. INR 11.2 Cr is the model's Cordata recognized revenue within INR 32 Cr total recognized revenue. INR 15 Cr is a separate assumed exit ARR figure at year end. It is a run rate, not extra revenue to add to the INR 32 Cr.

8. How many customers are paying customers?

The case says 120 customers at CY25, but it does not define whether all are active paying customers, pilots or historical accounts. For a real pitch, we would define an active customer consistently and report paying software logos separately from services customers.

9. What is the average revenue per customer?

The simplified portfolio average is total recognized revenue divided by year-end customers. It is about INR 26.7 lakh in CY25. It does not represent a typical contract, and it can be distorted by a few large accounts.

10. Why should investors believe the Cordata margin?

The model assumes 78% Cordata gross margin in CY25 and 80% by CY27–CY28, compared with 35% for services. That reflects direct hosting, support and customer-success costs as allocated in the case. It is an assumption; proof would come from product-level cost accounting and retention data.

11. Are services customers automatically Cordata customers?

No. A consulting engagement may create a chance to pilot the platform, but the software must solve a distinct need and be purchased or renewed on its own. We would track paid Cordata customers, subscription conversion, adoption and renewal separately.

12. Can one customer case really show INR 32 lakh of savings?

It is an illustrative example from the case. The claim should be supported by a defined baseline, measurement period, cloud bills and customer approval. We would explain whether the savings are gross, net of service fees, and sustained over a full year.

13. Is 5.3x an ROI?

On the slide it is the ratio of INR 32 lakh annual savings to a INR 6 lakh recurring software fee. It is a savings-to-fee ratio, not conventional net ROI. After subtracting the fee, the net benefit is INR 26 lakh before other costs. Including the INR 12 lakh consulting fee, first-year spend is INR 18 lakh and net savings are INR 14 lakh under the full-year assumption.

14. What assumptions produce INR 51 Cr, INR 89 Cr and INR 147 Cr?

The forecast applies revenue churn and expansion to opening revenue, then adds new enterprise contribution, PSU revenue and international revenue. For CY26, that is INR 32 Cr less INR 2.56 Cr churn plus INR 5.76 Cr expansion, INR 14 Cr new-logo contribution and INR 2 Cr PSU revenue, totaling INR 51.2 Cr.

15. Why do new logos contribute a full year of revenue in the year they sign?

That is a simplifying assumption for the training model: the INR 35–45 lakh figure is treated as a full-year revenue equivalent. A real forecast would phase revenue by contract start date, implementation, contract type and recognition policy. Late-year wins would generally contribute less in their first year.

16. What is the basis for a 25% win rate and eight wins per rep?

Those are planning assumptions, not demonstrated historical metrics in the case. The model translates 40, 60 and 75 new enterprise logos into about 160, 240 and 300 qualified opportunities and five, eight and ten quota-carrying representatives. The next proof is actual stage conversion and rep productivity.

17. What does 110% NRR mean?

It means the modeled opening customer cohort grows 10% after churn and expansion, before adding new customers. This simplified calculation uses total opening revenue as a proxy for recurring revenue, so it is not yet a pure SaaS NRR measure.

18. How do you get from 120 customers to 283?

The model applies assumed logo churn, then adds enterprise, PSU and international logos each year. It projects about 154, 210 and 283 customers at CY26, CY27 and CY28 year end. The customer definition and logo cohort schedule would need to be tracked carefully.

19. Why does headcount rise to 368?

Headcount is implied by revenue divided by assumed revenue per employee of INR 36 lakh, INR 38 lakh and INR 40 lakh. That gives about 142, 234 and 368 employees. This is a major hiring assumption. We would pace hiring to signed work, implementation capacity, product plans and available cash rather than hire simply to match a spreadsheet.

20. Is INR 3.5 Cr the ONGC annual revenue?

No. In the example it is assumed total contract value over three years. A simple straight-line estimate is about INR 1.17 Cr per year, INR 1.46 Cr recognized over 15 months and INR 2.04 Cr remaining backlog. Actual recognition depends on milestones and contract terms.

21. Does the ONGC value sit on top of the PSU forecast?

In this deck it should be treated as an example within the PSU forecast, not added again. If it is already included in the INR 2/5/8 Cr annual PSU line, adding it separately would double count revenue.

22. What is the IRCTC opportunity?

The revised finance deck leaves it out because the case only described a shortlist or linked opportunity. A shortlist is pipeline, not a contract, revenue or backlog. In the training presentation we can say future opportunities exist only if they are clearly labeled and not counted in the forecast without support.

23. Why can a startup win public-sector work?

The case presents Sacrum as a specialist that enters through a focused pilot or business unit rather than replacing a large incumbent everywhere. Public procurement still depends on tender-specific technical and financial requirements. Startup recognition does not guarantee eligibility or an award.

24. Why raise INR 25 Cr if EBITDA is positive?

The case is profitable on an EBITDA basis but wants to invest ahead of revenue in product, sales and customer success, while supporting longer collection cycles. The raise is intended to accelerate a larger opportunity; it is not presented as a rescue round.

25. How was the INR 25 Cr ask chosen?

The exercise allocates INR 10 Cr to product, INR 7.5 Cr to sales, INR 5 Cr to customer success and INR 2.5 Cr to working capital. The amount should be tied to a 24-month operating plan, hiring schedule, milestones and monthly cash forecast. This material does not include a valuation or equity percentage.

26. How long does the money last?

The simplified model deploys INR 22.5 Cr over 24 months after reserving INR 2.5 Cr for working capital, or about INR 0.94 Cr per month. Adding an assumed INR 2.5 Cr current cash gives roughly 27 months. This is an approximate planning calculation, not a full cash flow forecast.

27. Does working capital cover government payment delays?

At INR 8 Cr annual PSU revenue and 110 days to collect, the simplified receivable estimate is about INR 2.41 Cr, just under the INR 2.5 Cr reserve. This leaves little buffer. A real plan would test slower collection, disputed invoices, taxes and vendor payment timing.

28. Why does EBITDA margin dip to 1% in CY27?

The model assumes product, sales and customer-success costs arrive before the full revenue benefit. One percent is close to break-even and leaves little room for execution delays. We would manage hiring in stages and use milestones to control the downside.

29. What if the forecast is missed?

We would monitor leading indicators—pipeline quality, win rate, implementation time, renewals, cash collection and product adoption. If they fall short, we would slow discretionary hiring, focus spending on the strongest customer segments and protect service quality. A downside scenario should be prepared alongside the base case.

30. How concentrated is revenue?

The exercise does not provide customer concentration. Before an actual pitch, we would disclose the largest customer and top-ten share, plus whether revenue is recurring, project-based or tied to a single contract.

31. Who are the competitors and what is the moat?

The exercise says Cordata combines multi-cloud cost governance, security posture and compliance workflows with Sacrum's implementation expertise. A real answer needs named competitors, customer switching reasons, integration depth, data advantages and evidence that the product is hard to replace.

32. Why do you want this investor specifically?

We want a partner who can bring more than a cheque: experience scaling enterprise software, hiring strong product and sales teams, introductions to cloud and enterprise buyers, public-sector procurement knowledge, or access to international markets. We would first understand the investor's strengths and where they can help.

33. How does the investor benefit?

If the investment is equity, the investor would own a negotiated share of the company and may benefit if the company grows in value or provides future liquidity. The terms, valuation, ownership percentage and exit path are not set in this exercise, and there is no guaranteed return.

34. What valuation are you seeking?

The case does not specify a valuation, so we should not invent one. We would base a real discussion on the company's financials, growth quality, comparable companies, risk, capital required and the ownership needed to fund the plan.

35. What return can I expect and when can I exit?

We cannot promise a return or date. Equity outcomes depend on execution, future financing, dilution, market conditions and liquidity options. We can explain the value-creation plan and discuss terms, but projections are not a guarantee.

36. Is this a Series A or pre-Series A?

The deck calls it a INR 25 Cr Seed / Pre-Series A round. Those labels vary by investor. The important points are the amount, use, milestones, valuation and ownership terms; this exercise does not define the latter two.

37. How large is the market you are pursuing?

The exercise does not provide a market-size study, so we should not invent a total addressable market. A real answer would size the target customer segments, the cloud spend and governance problems they face, the share we can serve, and realistic adoption over time.

38. How will you find new customers?

The case starts with founder relationships, referrals and cloud partner visibility. The forecast then assumes dedicated enterprise sales teams in Delhi, Bengaluru and Hyderabad. We would track leads by channel, qualified pipeline, win rate, sales cycle and cost to acquire each type of customer.

39. What are the sales cycle and customer acquisition cost?

The case does not supply measured sales-cycle or CAC data. The 25% win rate and 8 wins per representative are planning assumptions only. For a real raise, we would report median cycle by segment, sales and marketing spend, new paying customers, gross margin and CAC payback.

40. What is the biggest execution risk?

The plan depends on hiring, product delivery, customer adoption and timely collections all happening together. We would reduce risk with staged hiring, pilot-to-paid conversion milestones, renewal and usage reviews, delivery capacity checks and a downside cash plan.

41. How will you know AI features are working?

The roadmap includes AI recommendations, predictive governance and FinOps automation. We would measure whether customers adopt recommendations, reduce manual work or cloud waste, and renew the product. Shipping a feature alone is not proof of customer value.

42. Why cannot AWS, Azure or a large integrator offer the same thing?

The case positions Cordata as a multi-cloud governance layer with Sacrum's implementation experience. Cloud providers focus on their own environments and large integrators can deliver broad programs. We still need to demonstrate that customers prefer our cross-cloud workflow, integrations and product experience and that this advantage is hard to replace.

Five difficult questions to rehearse out loud

- “These are classroom assumptions. If this were a real raise, I would provide audited financial statements and a clear actual-versus-forecast bridge.”
- “The INR 3.5 Cr is multi-year TCV, not annual revenue. We include only the annual amount in the PSU revenue plan.”
- “Our 5.3x figure is annual savings divided by recurring subscription fee, not a guaranteed investor ROI.”
- “The INR 25 Cr is linked to a 24-month plan and stated milestones. The current deck does not establish a valuation or ownership percentage.”
- “We want a strategic investor who can help us scale enterprise software, customer access and execution; a return is possible only if the business succeeds and liquidity becomes available.”

Questions to ask the investor

- Which parts of your portfolio or operating background are most relevant to scaling enterprise software?
- How do you typically support a company after investing: hiring, customer access, product strategy or later fundraising?
- What milestones would you expect this capital to achieve before the next round?
- What would you need to see to gain confidence in the recurring revenue and public-sector pipeline?